



ECO101- Introduction to Microeconomics

Section:4

Quiz: 1

Marks: 20

Time: 25 minutes

1. Sanjana can produce 30 cup cakes or 150 pastries in an hour. Atia can produce 15 cup cakes or 90 pastries an hour.

- a. Who has a comparative advantage in producing cupcakes? (4)

for Sanjana,

$$\text{opportunity cost (cupcakes)} = \frac{150}{30} = 5 \text{ pastries}$$

for Atia,

$$\text{opportunity cost (cupcakes)} = \frac{90}{15} = 6 \text{ pastries}$$

as Sanjana's OC is less than Atia

so, Sanjana has a comparative advantage

- b. Who has a comparative advantage in producing pastries? (4)

for Sanjana,

$$\text{opportunity cost (pastries)} = \frac{30}{150} = \frac{1}{5} = 0.2$$

for Atia,

$$\text{opportunity cost (pastries)} = \frac{15}{90} = \frac{1}{6} = 0.166$$

As Atia has less opportunity cost so Atia has a comparative advantage in producing pastries.

- c. Who has an absolute advantage in producing cupcakes? (2)

Atia + Production per hour
15

Sanjana 30

Sanjana produces more cupcakes than Atia.

so, Sanjana has

absolute advantage

2. Suppose with its available resources and technology, Bangladesh produces only two types of goods- manufacturer goods and consumer goods.

a. Draw a Production Possibilities Frontier (PPF) to show how different combinations of these two goods are produced. (5) [Use arbitrary values]

Assuming total resources = 1000 labour/hour.

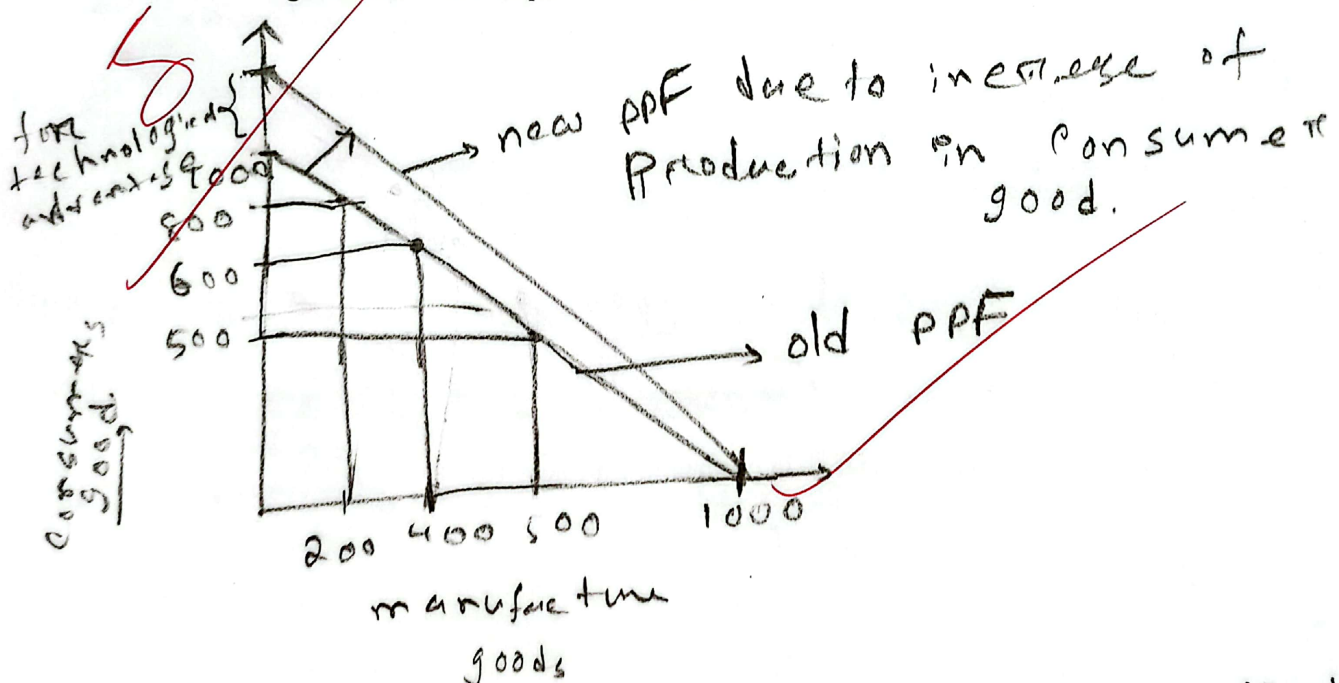
consumer goods
1000
800
600
500

200 400 500

1000 manufacture good

manu facture goods	consumer goods
1000	0
500	500
400	600
200	800
0	1000

b. If a technological advancement improves productivity of Labour in Consumer goods, draw and Explain what happens to the PPF in part a? (5)



As the production increases of consumer's good due to technological advantage, so the PPF will go upwards on the consumer good side (y axis) and the manufacture good side will remain same.